

24VECV00540 24VECV00540

County: los-angeles

Division: Civil Law and Motion

Department: T

Hearing date: 2026-08-14

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CT%2C08%2F14%2F2026

Source SHA-256: baacb69e1247f4406f89610590e83921410d781615c2280161c5b9b9f8faaace

Case Number: 24VECV00540 Hearing Date: August 14, 2026 Dept: T

24VECV00540 TIPTOP RESTORATION V BREINES

[TENTATIVE] ORDER: Defendant AP Global, Inc.'s Motion for Summary Judgment and the Alternative Motion for Summary Adjudication are DENIED.

Plaintiff Tiptop Restoration, Inc.'s Request for Judicial Notice is GRANTED but not as to any facts in dispute or hearsay.

Defendant AP Global, Inc.'s Evidentiary Objections are OVERRULED.

Introduction

Defendant AP Global Inc. (Defendant) moved for summary judgement (MSJ) against Plaintiff Tiptop Restoration, Inc.'s (Plaintiff) Complaint. In the alternative, Defendant also moved for summary adjudication (MSA) and raised two issues: "(1) the parties' contract, inclusive of an addendum, provides TipTop agreed to accept as full and final payment whatever amount was approved and paid by insurance; and (2) TipTop's own testimony and documents confirm the addendum and the insurance-proceeds payment structure, while the record contains no evidence of any insurance payment to TipTop on the claim, defeating Plaintiff's damages as a matter of law." The Complaint alleged two causes of action (COA): (1) breach of contract, and (2) open book account.

Procedure

For an MSA, a court cannot adjudicate any issue except those precisely stated in the notice. (Hawkins v. Wilton (2006) 144 Cal.App.4th 936, 949; Cal. Rules of Court, rule 3.1350(b).) In addition to stating the specific issues in the Notice, the specific issues are required to be repeated, verbatim, in the separate statement. (Cal. Rules of Court, rule 3.1350(b).) Defendant's Notice to the MSA and the Separate Statement failed to identify the cause of action, the issue of duty, the affirmative defense, or the issue of damages to be adjudicated in the MSA. The two alleged issues, identified above, are uncertain as to whether the issues presented are to a cause of action, duty, affirmative defense, or damages. It would appear that the two issues are argued against both COAs equally. However, the Separate Statement failed to repeat the issues verbatim and failed to identify the material facts relevant to each issue. On this defect, the MSA can be DENIED.

The Court noted that the Points and Authorities to the MSJ/MSA made a specific argument against the second COA regarding the validity of the open book account COA due to the existence of an express contract. This issue was not identified in the Notice or the Separate Statement. Because the issue was not identified in the Notice or the Separate Statement, the Court is not authorized to review the argument/issue.

To the extent that the MSA moved specifically against the second COA, the MSA is DENIED.

Discussion

Defendant asserted that there is no triable issue of material fact as to the elements of breach and damages because Plaintiff agreed to be paid from the proceeds issued by Defendant's insurer, Hanover, and not from any payment from Defendant. Defendant asserted that Hanover made no payment to Plaintiff or Defendant, despite Defendant filing a claim. Because Hanover issued no payment, Defendant argued that Plaintiff is not entitled to any payment. Defendant asserted that these are the agreed upon terms to the agreement between the parties. To assert the entirety of the terms of the parties' agreement, Defendant provided a copy of a signed document titled "Work Authorization and Direction of Payment" (WADP), which was executed and signed by the parties on December 15, 2021. (Defendant's Separate Statement of Fact (DSSF) 1: Attorney Sharice Marootian Decl. par. 10, Exh. A.) [There was no objection to this document.] Additionally, Defendant provided a copy of e-mails between the parties dated December 14, 2021 (E-Mails) to argue that the terms in the emails are included as terms in the WADP as an addendum or modification to the WADP. (DSSF 2-5: Attorney Sharice Marootian Decl. par. 10, Exh. B.) [There was no objection to this document.] However, the Court disagrees with Defendant's contention/characterization of the E-Mails as an addendum or modification to the WADP and/or that the terms in the E-Mails are included/added terms to the WADP. Preliminarily, the WADP was entered after the E-Mails were sent. The WADP was signed on December 15, 2021, and the E-Mails were sent the day before, on December 14, 2021. To be considered a modification or addendum to a written contract, there are four exclusive methods. (Civ. Code, sec. 1698; CACI no. 313.) Each of these four methods presupposes the existence of a contract to be modified. A modification cannot legally or factually exist without an already-existing written contract since a modification/addendum contemplates altering a pre-existing contract. Because the E-Mails pre-existed the WADP, the E-Mails cannot legally or factually modify the WADP. Defendant's argument that the terms in the E-Mails are included in the WADP are not persuasive. At most, the E-Mails would be evidence as to the negotiation of the parties prior to entry into the WADP. Further, Defendant's reliance upon Plaintiff's deposition testimony admitting and/or interpreting the E-Mails to be a part of the WADP is unpersuasive because an admission/interpretation as to circumstance that cannot legally or factually exist is improper.

To the extent that the E-Mails could be considered into evidence, the E-Mails would be parol evidence and issues of admissibility would arise. Even if found to be admissible, the parol evidence would potentially show that a triable issue of fact may exist if there is a conflict in the evidence. The E-Mail, as written by Defendant's Michael Breines, stated "Whatever insurance company will approve will be final and full payment for work." However, Plaintiff's responsive E-Mail through Dan Reichman stated "I read all above [sic] and agree to it! Also, this is additional to the emergency contract and direct payment authorization." (i.e., WADP). Plaintiff's response was to include the terms of the WADP, which contains a conflict to the contention that the insurance payment would be "final and full payment". The WADP states, in pertinent part: "It is fully understood that the owner(s) are responsible for payments, deductibles," The terms of the WADP require Defendant to be liable for payment for the water mitigation services. Because there is a conflict within the provisions of the WADP and E-Mails, if the terms in the E-Mails were to be considered, a triable issue of fact would arise.

In any event, there are insufficient facts to support Defendant's contention that the E-Mails are a modification/addendum to the WADP. The Court finds that Defendant failed to meet their initial burden on the MSJ and MSA Issues 1 and 2 to show that no triable issue of fact exists as to breach or damages.

Because Defendant failed to show that the E-Mails are an addendum/modification to the WADP, Defendant's subsequent arguments relying upon the inclusion of the E-Mails as terms of the entire contract are also unpersuasive. Defendant's arguments to support that the E-Mails are part of the WADP included references to Plaintiff's subsequent attempts to secure payment from Hanover, liability for payment solely resting upon Hanover, and removal of an arbitration provision. Specifically, as to the evidence submitted regarding Plaintiff's efforts to secure payment from Hanover, the Court notes that the terms of the WADP provided authorization to pay Plaintiff from Hanover or Defendant's insurer. The evidence that Plaintiff sought payment from Hanover or Defendant's insurer would tend to show that Plaintiff complied with the terms of the WADP.

Defendant's argument is insufficient to meet their initial burden to show that no triable issue of fact exists as to breach and damages. For this failure, Defendant failed to meet their burden to show that they are entitled to a judgment of the entire action and the MSJ and MSA Issues 1 and 2 are unpersuasive.

The MSJ and MSA Issues 1 and 2 are DENIED.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.